



Time: 5 minutes

Outcome: Analyze dollar demand, dollar supply, and exchange-rate movements.

Difficulty: ●●○ Intermediate

Foreign-Exchange Market Equilibrium



THE CORE IDEA

The foreign-exchange market determines an exchange rate and the quantity of currency traded. This diagram quotes foreign currency per U.S. dollar: a higher value means dollar appreciation. Demand for dollars slopes downward and gross-flow supply slopes upward. Greater foreign demand for U.S. goods or assets can shift demand right; greater U.S. demand for foreign goods or assets can shift supply right.



HOW TO RECOGNIZE IT

- Demand right raises the exchange rate and quantity: dollar appreciation.
- Supply right lowers the exchange rate and raises quantity: dollar depreciation.
- Simultaneous shifts can make one equilibrium outcome indeterminate.
- Read the axis convention before translating up/down into appreciation/depreciation.

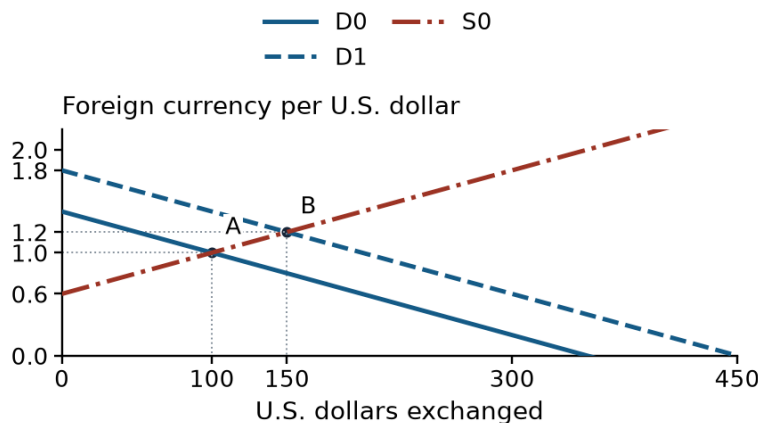


WATCH OUT

Do not use an inverse quotation. On these graphs, moving upward means more foreign currency per dollar and therefore appreciation of the U.S. dollar.



WORKED EXAMPLE: A RIGHTWARD DEMAND SHIFT



Dollar demand shifts from D0 to D1 while S0 remains fixed. Equilibrium moves from A to B: quantity rises from 100 to 150 and the exchange rate rises from 1.0 to 1.2 foreign units per dollar. The higher quote means the U.S. dollar appreciates.



CHECK YOURSELF

Dollar supply shifts right while demand stays fixed. What happens to the dollar and to quantity exchanged?



READY?

Return to the game and master this concept.